



Australian Government
AUSTRAC

Money transferred to and from overseas: International funds transfer instruction (IFTI) reports

[Home](#) / [Business](#) / [Core guidance](#) / [Reporting](#) / Money transferred to and from overseas: International funds transfer instruction (IFTI) reports

An international funds transfer instruction (IFTI) involves either:

- an instruction that is accepted in Australia for money or property to be made available in another country, or
- an instruction that is accepted in another country for money or property to be made available in Australia.

If you send an IFTI out of Australia or receive an IFTI into Australia, you must submit an IFTI report to AUSTRAC within 10 business days.

There are two types of IFTI reports:

- IFTI-Es are made by financial institutions and apply to transfers of money which are sent or received from another country.
- IFTI-DRAEs are made by businesses, organisations or individuals who are not financial institutions such as remittance service providers and casinos. They apply to transfers of money or property.



If you are a casino, see [examples of IFTI reporting for casinos](#).

How to submit IFTI reports



You should submit IFTI reports through [AUSTRAC Online](#). However paper forms are also available through the AUSTRAC Contact Centre.

There are different report forms for IFTI-Es and IFTI-DRAEs.

There are detailed instructions in AUSTRAC Online on how to fill in an IFTI report form.

You can submit reports online through:

- Data entry. IFTIs can be completed and submitted manually. This option is best if you don't submit many reports.
- Spreadsheet. You can enter IFTI data into a spreadsheet available through AUSTRAC Online.
- Extraction. You can use a computer program to extract the relevant transaction information from your database, collate it into a single file and send it to us via AUSTRAC Online. This option is best if you're a large business which captures and stores transaction data electronically.

After you submit an IFTI report

Officials from AUSTRAC or one of our partner agencies may send you a written notice to provide further information about an IFTI report. This may be information you have about a customer or a particular transfer, such as account information or customer details, that could help us in an investigation. You are legally required to provide this information if you are given the notice.

International electronic funds transfer instructions (IFTI-E)



An IFTI-E is a type of electronic funds transfer instruction (EFTI) for transferring money on behalf of a customer which is sent to or received from another country. In an IFTI-E:

- the transfer instruction is carried out or passed on electronically

- the transfer is within the same financial institution or between financial institutions, such as banks, building societies or credit unions.

An IFTI-E can be either:

- outgoing – the ordering institution accepts the instruction in Australia and transfers money to the payee via a beneficiary institution overseas
- incoming – the ordering institution accepts the instruction overseas and transfers money via a beneficiary institution in Australia.

Information required in IFTI-E reports

IFTI-E reports must include details about everyone involved in the transfer:

- the payer – the business, organisation or individual who instructs the ordering institution to transfer money
- the ordering institution – the institution that accepts the transfer instruction
- the sender (if the sender is not the ordering institution) – the financial institution that transmits the instruction to the beneficiary institution. This is often the ordering institution, but not always.
- the beneficiary institution – the financial institution that receives the instruction and makes the money available to the payee
- the payee – the business, organisation or individual who ultimately receives the transferred money
- any intermediary institutions – other institutions in the transfer chain between the sender and the beneficiary institution.

You may also have to report details such as:

- transaction dates
- the amount and type of currency
- the identification code assigned to the instruction
- any information or directions the payer gave to the payee
- any information or directions one of the institutions gives another

- any other details that appear in the instruction. For more information see chapter 16 of the AML/CTF Rules.

IFTI under a designated remittance arrangement (IFTI-DRA)

An IFTI-DRA is an instruction to transfer money or property to or from another country under a designated remittance arrangement (DRA) where either:

- the entity accepting the instruction from the customer or
- the entity making the money or property available

is not a financial institution.

Information required in IFTI-DRA reports

Reports about IFTI-DRA must include details about everyone involved in the transfer:

- the transferor – the business, organisation or individual who instructs the transfer of the money or property
- the sender – the business, organisation or individual that accepts instructions from the transferor to transmit the money or property
- the transmitter (if the transmitter is not the sender) – the business, organisation or individual that transmits the instructions
- the disbursing entity – the business, organisation or individual that arranges for the money or property to be made available to the transferee
- the transferee – the business, organisation or individual that ultimately receives the money or property.

You may also have to report details such as:

- transfer dates
- the amount and type of currency
- reference and identification numbers

- for property transfers, a description and value of the property and details of the currency used in the valuation
- any information given in the instruction about the reason for transferring the money or property
- how you identified and verified an individual's identity. For more information see chapter 17 of the AML/CTF Rules.

Examples of IFTI-DRA reports that need to be reported

Example 1

Ms Amuza wants to send A\$5000 to her brother (Mr Bajaj) who lives in Vietnam. Ms Amuza contacts Remittance Company Hafei Ltd, a registered money transfer provider, and instructs them to send A\$5000 to Mr Bajaj in Vietnam.

Remittance Company Hafei sends a text message to its agent in Vietnam, who arranges to have A\$5000 delivered to Mr Bajaj the next business day.

Remittance Company Hafei and the agent in Vietnam arrange to reconcile the funds between themselves later.

Remittance Company Hafei must submit an IFTI-DRA report to AUSTRAC giving details of the international funds transfer instruction within 10 business days of receiving the instruction.

Example 2

Mr Praga wants to send A\$2000 to his family in India. He presents Remittance Company Hafei with a cheque for A\$2000 and instructs them to send A\$2000 to Ms Dacia.

Remittance Company Hafei contacts its agent in India via email. It deposits the funds into its bank account with Bank Vector in Australia, then transfers A\$2000 from that account to the agent's bank account in India. The agent arranges to deliver the A\$2000 to Ms Dacia in India.

Remittance Company Hafei must submit an IFTI-DRA report to AUSTRAC giving details of the international funds transfer instruction within 10 business days of receiving the instruction from Mr Praga.

Affiliates of a remittance network providers: Who submits the IFTI-DRA report

The remittance network provider is responsible for lodging an IFTI report with AUSTRAC if its affiliate made the IFTI-DRA using the provider's network.

Penalties for not submitting an IFTI report



If you are late in submitting an IFTI report, or don't submit one when you should, you can be fined up to 100,000 penalty units if you are a body corporate or up to 20,000 penalty units if you're not a body corporate. Find out more about [enforcement and penalties](#).

Related legislation

Part 3, Division 4 (sections 45 and 46) of the [AML/CTF Act \(latest version\)](#) – International funds transfer instructions

Chapter 16 of the [AML/CTF Rules \(latest version\)](#) – Reportable details for international funds transfer instructions (items 1 and 2 in section 46)

Chapter 17 of the [AML/CTF Rules \(latest version\)](#) – Reportable details for international funds transfer instructions under a designated remittance arrangement (items 3 and 4 in section 46)

The content on this website is general and is not legal advice. Before you make a decision or take a particular action based on the content on this website, you should check its accuracy, completeness, currency and relevance for your purposes. You may wish to seek independent professional advice.